KHEPRI

Dated March 2024

# Anti-Money Laundering Policy

| Version | Date | Comments | Approved |
| --- | --- | --- | --- |
| 1 | 31 August 2020 | *Creation of policy* | 31 August 2020 |
| 2 | 30 September 2022 | *Review of policy – updated for changes in rules/guidance/ legislation and clarity* | 20 November 2022 |
| 3 | 20 April 2023 | *Updated to reflect Khepri policies, procedures and systems* | 18 May 2023 |
| 4 | 13 March 2024 | *Updated to reflect changes in legislation and Khepri risk appetite* | 18 April 2024 |

**CONTENTS**

## 1. PURPOSE AND SCOPE

1.1 The purpose of this policy document (the "**Policy**") is to establish the Anti Money Laundering ("**AML**"), Anti Proliferation Financing ("**APF**") and Counter Financing of Terrorism ("**CFT**") principles and standards that must be adhered to by Khepri Advisers Limited ("**Khepri**", "**we**" or "**our**") and by our Appointed Representatives ("**ARs**") to the extent that they are Relevant Persons as defined in section 2 below.

1.2 All references to the "**Firm**" shall be taken to include Khepri and all ARs. We have separate policies on **Anti-Bribery and Corruption, Fraud Prevention,** and **Market Abuse** which we expect staff and ARs to be familiar with.

1.3 Money Laundering is generally understood to be the conversion of the proceeds of crime into apparent legitimate currency. For the purposes of the Policy, money laundering includes (but is not limited to):

1.3.1 Acquiring or using the proceeds of crime.

1.3.2 Concealing, disguising, converting or transferring the proceeds of crime.

1.3.3 Entering into or becoming concerned with an arrangement which facilitates the acquisition, retention, use or control of the proceeds of crime.

1.4 Terrorist Financing is generally understood to be the use of the financial system to allow the provision of funds to terrorist organisations (whether or not the proceeds of crime).

1.5 The meaning of proliferation financing, as used in this Policy, is specifically limited to the provision of funds or financial services for use in contravention of a relevant financial sanctions obligation.

1.6 This Policy provides guidance and help to understand the Firm's corporate and individual responsibilities ("Relevant Persons" – See section 2 below) under the money laundering regulations regarding the identification and reporting of money laundering or terrorist financing or other financial crime.

## 2. WHO ARE RELEVANT PERSONS?

2.1 The Money Laundering, Terrorist Financing and Transfer of Funds (Information on the Payer) Regulations 2017 (the "**MLRs**") applies to Relevant Persons acting in the course of business carried on by them in the United Kingdom.

2.2 Relevant Persons are defined in Regulation 8 to 15 of the MLRs. In summary, they include inter alia:

2.2.1 a person, whose regular occupation or business is the provision to other persons of an investment service or the performance of an investment activity;

2.2.2 a collective investment undertaking, when marketing or otherwise offering its units or shares

2.2.3 an undertaking that carries on:

(a) activities that amount to participation in securities issues and the provision of services relating to such issue;

(b) lending, including, inter alia: consumer credit, credit agreements relating to immovable property, factoring, with or without recourse, financing of commercial transactions (including forfeiting);

(c) corporate finance services which is advice to undertakings on capital structure, industrial strategy and related questions and advice as well as services relating to mergers and the purchase of undertakings;

2.2.4 a branch located in an EEA state of a person referred above, when carrying out any activity mentioned above in the UK.

2.3 **NB**: It is assumed that all Regulated Activities, in accordance with FSMA 2000 (Regulated Activities) Order 2001 (SI 2001/544), conducted by the ARs under the AR Agreement and activities conducted by Khepri will be captured by the Policy.

---

## 3. APPLICABLE REGULATION AND GUIDANCE

3.1 The Firm is required to have effective systems and controls in place to ensure compliance with regulatory requirements for countering the risk that the Firm might be used for money laundering, terrorist financing or proliferation financing. These obligations arise from the:

3.1.1 Proceeds of Crime Act 2002 ("**POCA**");

3.1.2 Terrorism Act 2000 ("**TACT**");

3.1.3 Counter-Terrorism Act 2008, Schedule 7 ("**CTA**");

3.1.4 Anti-terrorism, Crime and Security Act 2001;

3.1.5 Anti-bribery Act 2010 ("**ABC**");

3.1.6 UK Sanctions Regime (Sanctions and Anti-Money Laundering Act 2018 (the "**Sanctions Act**") and sanctions regimes in other jurisdictions the Firm operates in;

3.1.7 Money Laundering, Terrorist Financing and Transfer of Funds (Information on the Payer) Regulations 2017, as amended;

3.1.8 Criminal Finances Act 2017 ("**CFA**"); and

3.1.9 Economic Crime (Transparency and Enforcement) Act 2022.

3.2 The MLRs incorporate international standards set by the Financial Action Task Force (FATF) and transposed the EU's Fifth Directive on Money Laundering (5MLD) in the UK.

3.3 In addition to the obligations under the law, the Firm is subject to domestic and international guidance including from the:

3.3.1 Financial Conduct Authority ("**FCA**") Financial Crime Guide;

3.3.2 Financial Action Task Force (“**FATF**”);

3.3.3 Joint Money Laundering Steering Group (“**JMLSG**”);

3.3.4 Wolfsberg Group;

3.3.5 National Crime Authority (“**NCA**”);

---

## 4. MONEY LAUNDERING REPORTING OFFICER

4.1 Khepri has appointed a Money Laundering Reporting Officer (“**MLRO**”) as the officer responsible for the Firm’s compliance with the MLRs.

4.2 Khepri has appointed a Deputy Money Laundering Reporting Officer (“**Deputy MLRO**”) as the officer responsible for assisting the MLRO and conducting the responsibilities of the MLRO during their times of absence.

4.3 The MLRO Statement of Responsibility sets out responsibilities under the MLRs and relevant FCA rules and guidelines.

4.4 The MLRO is responsible for the implementation of this Policy and preparing an annual report to the board.

---

## 5. FIRM WIDE RISK ASSESSMENT

5.1 The Firm is required to adopt a risk-based approach. The basis of this approach is a risk assessment which identifies the money laundering and terrorist financing risks that are relevant to the Firm and assess the risks presented by the Firm’s:

5.1.1 Customers and any underlying Beneficial Owners;

5.1.2 products provided or services undertaken;

5.1.3 complexity and volume of its transactions;

5.1.4 processes and systems;

5.1.5 operating environment;

5.1.6 distribution channels; and

5.1.7 geographical areas of operation.

5.2 The Firm should assess its risks in the context of how it might most likely be involved in money laundering, terrorist financing and proliferation financing.

5.3 The results of the Khepri’s firm wide risk assessment will be reported to the board and updated annually.

5.4 Once the Firm has identified and assessed the risks it faces in respect of money laundering, terrorist financing and proliferation financing, senior management must establish and maintain policies, controls and procedures to mitigate and manage effectively the risks of money laundering, terrorist financing and proliferation financing identified in its risk assessment.

5.5 The policies, controls and procedures must include, but are not limited to:

5.5.1 risk management practices, Customer Due Diligence ("**CDD**"), reporting, record-keeping, internal controls, compliance management and employee screening;

5.5.2 for parent firms, policies on the sharing of information about Customers, Customer accounts and transactions.

---

## 6. CUSTOMER RISK ASSESSMENT

6.1 The Firm must determine the extent of their CDD measures on a risk-sensitive basis depending on the type of Customer, business relationship, product or transaction.

6.2 This risk of each Customer is judged using one of Khepri's 4 Customer Risk Assessments ("**CRAs**"):

6.2.1 Investor CRA

6.2.2 Investment CRA

6.2.3 Fund CRA

6.2.4 Other Client CRA

6.3 Key risk criteria the Firm must use for all CRAs include:

6.3.1 Geographical Risk

6.3.2 Customer Risk

6.3.3 Product/Service Risk

6.4 Appendix 1 contains a fuller list of illustrative risk factors the Firm must consider when deciding the ML/TF/PF risk posed by Customers.

6.5 All relevant risk factors should be considered and given weighting depending on the relevance of the risk in the context of each Customer relationship or occasional transaction.

6.6 When weighting factors, the Firm should ensure that:

6.6.1 Weighting is not unduly influenced by just one factor;

6.6.2 Economic or profit considerations do not influence the risk rating;

6.6.3 Weighting does not lead to a situation where it is impossible for any business to be classified as high risk;

6.6.4 Situations identified by national legislation or risk assessments as always presenting a high money laundering risk cannot be overruled by the Firm's weighting; and

6.6.5 Firms are able to override any automatically generated risk scores where necessary.

The rationale for the decision to override such scores should be documented appropriately

6.7 For Khepri Customers, each one should be assigned a risk rating of:

6.7.1 Low – the possibility of simplified due diligence can be considered;

6.7.2 Medium; or

6.7.3 High – Enhanced due diligence is mandatory.

6.8 ARs are permitted to deviate from the risk ratings above, but they must ensure each Customer undergoes an assessment of the AML/CTF/PF risk they pose and there are certain risk ratings that require enhanced due diligence, should the applicable threshold be reached.

6.9 Khepri must review all Customer Risk Assessment before implementation.

---

## 7. WHO IS THE CUSTOMER FOR AML PURPOSES?

7.1 A Customer is a party (physical or legal) with which the Firm:

7.1.1 establishes a business relationship; or

7.1.2 carries out an occasional transaction;

7.2 A "business relationship" is:

7.2.1 a business, professional or commercial relationship between the Firm and a Customer; and

7.2.2 which is connected to the business of the Firm; and

7.2.3 is expected by the Firm at the time when contact is established to have an element of duration.

7.3 A relationship need not involve the firm in an actual transaction; giving advice may often constitute establishing a business relationship.

7.4 An "occasional transaction" for CDD purposes means:

7.4.1 a transfer of funds within the meaning of article 3.9 of the funds transfer regulation exceeding €1,000; or

7.4.2 a transaction carried out other than in the course of a business relationship (e.g., a single foreign currency transaction, or an isolated instruction to purchase shares), amounting to €15,000 or more, whether the transaction is executed in a single operation or in several operations which appear to be linked.

7.5 A Firm also has an obligation to conduct CDD if it:

7.5.1 suspects money laundering or terrorist financing; or

7.5.2 doubts the veracity of documents or information previously obtained for the purpose of identification or verification.

7.6 The JMLSG Guidance (Part II) explains in detail how the rules apply to different business models and Customer structures. Part II of the guidance includes discussion of the CDD obligations of financial advisory, wealth management, corporate finance, private equity, crypto, and investment advisory businesses.

---

## 8. TIMING OF CDD

8.1 The Firm must comply with the requirement to verify the identity of the Customer, any person purporting to act on behalf of the Customer, and any Beneficial Owner of the Customer **before** the establishment of a business relationship or the carrying out of the transaction.

8.2 However, on an exceptional basis, provided that the verification is completed as soon as practicable after contact is first established, the verification of the Customer, any person purporting to act on behalf of the Customer and the Customer's Beneficial Owner, may be completed during the establishment of a business relationship if:

8.2.1 this is necessary not to interrupt the normal conduct of business; and

8.2.2 there is little risk of money laundering and terrorist financing.

---

## 9. CUSTOMER DUE DILIGENCE

9.1 The MLRs specify what CDD measures are required to be carried out, the timing of these checks, as well as actions required if CDD measures are not carried out.

9.2 The CDD measures that must be carried out involve:

9.2.1 identifying the Customer and verifying their identity ("**IDV"**), as explained in **section 10**; and

9.2.2 identifying the Ultimate Beneficial Owner**(s),** where relevant, and verifying their identity, as explained in **section 11**; and

9.2.3 assessing, and where appropriate, obtaining information on, the purpose and intended nature of the business relationship or transaction (i.e., Know Your Customer ("**KYC"**)), as explained in **section 12**.

9.3 The MLRs describe particular circumstances in which limited CDD measures are permitted (referred to as 'Simplified Due Diligence'("**SDD**")), and those Customers and circumstances where Enhanced Due Diligence ("**EDD**") is required. Most Customers will be subject to Standard CDD. However, depending on the factors listed in sections 15 and 14 below, EDD or SDD may be applied.

9.4 Any deviations from the standard CDD approach must be agreed with the MLRO on a case by case basis.

## 10. IDENTIFICATION & VERIFICATION

10.1 The identity of a Customer must be verified on the basis of documents, data or information obtained from a reliable and independent source unless the identity of that Customer is known to, and has been already verified by, the Relevant Person.

10.2 The information obtained must be verified through a reliable source that is independent of the Customer.

10.2.1 Documents issued or made available by an official body are to be regarded as being independent of a person even if they are provided or made available to the Firm by or on behalf of that person.

(i) Consideration should be given as to whether the documents the Firm relies on are forgeries or counterfeits.

(ii) If the documents are in a foreign language, the Firm must take appropriate steps to be reasonably satisfied that the documents in fact provide evidence of the Customer's identity by getting certified translated copies of the documents.

10.3 The IDV requirements for which types of evidence may be used to identify Customers based on their legal identity is found in Appendix 2.

## 11. BENEFICIAL OWNERS

11.1 A Beneficial Owner of a Customer is either an Ultimate Beneficial Owner ("**UBO**") or an Intermediary Beneficial Owner ("**IBO**").

11.2 A UBO is normally an individual who ultimately owns or controls the Customer or on whose behalf a transaction is being conducted.

11.2.1 In respect of physical persons, the Customer themself is the UBO, unless there are features of the transaction, or surrounding circumstances, that indicate otherwise.

11.2.2 In respect to legal persons, the UBO is the physical person either owning or controlling more than 25% the Customer or otherwise owning or controlling the Customer.

11.2.3 If no individual owns/controls more than 25% of the capital/profits or the voting rights, the Firm must consider whether any individual owning/controlling a lower percentage exercises effective control.

11.3 If the Beneficial Owner of the Customer is a legal person, trust, company, foundation, or similar legal arrangement, that legal person is an IBO. The Firm must take reasonable measures to understand the ownership and control structure of that IBO.

11.4 In low-risk situations, it may be reasonable for the Firm to confirm the Beneficial Owner's identity based on information supplied by the Customer. This could include information provided by the Customer as to their identity, and confirmation that they are known to the Customer. While this may be provided orally or in writing, any information received orally should be recorded in written form by the Firm.

11.5 In some trusts and similar arrangements, instead of being an individual, the Beneficial Owner may be a class of persons. Where only a class of persons is required to be identified, it is sufficient for the firm to ascertain and name the scope of the class. It is not necessary to identify every individual member of the class.

## 12. NATURE AND PURPOSE

12.1 The Firm must understand the purpose and intended nature of the business relationship or transaction with the Customer to assess whether the proposed business relationship is in line with the Firm's expectations.

12.2 In some instances this will be self-evident, but in many cases the Firm may have to obtain information in this regard.

12.3 Whether, and to what extent, the Customer has contact or business relationships with other parts of the Firm, its business or wider group can also be relevant, especially for higher risk Customers. The Customer may have different risk profiles in different parts of the business or group.

12.4 Depending on the firm's risk assessment of the situation, carried out in accordance with section 6 above, the information that might be relevant may include:

12.4.1 nature and details of the business/occupation/employment;

12.4.2 record of changes of address;

12.4.3 the expected source and origin of the funds to be used in the relationship;

12.4.4 the origin of the initial and ongoing source(s) of wealth and funds;

12.4.5 copies of recent and current financial statements;

12.4.6 the various relationships between signatories and with underlying Beneficial Owners;

12.4.7 the anticipated level and nature of the activity that is to be undertaken through the relationship.

## 13. PERSON PURPORTING TO ACT ON BEHALF OF THE CUSTOMER

13.1 In some instances, we may be approached by a person purporting to act on behalf of a Customer. Extra care must be taken in these circumstances as identity fraud is a particularly significant threat, in which criminals may impersonate others, exploit a higher degree of anonymity with online transactions, access (and misuse) legitimate financial services, or be seeking to conceal their identities by using another's account in order to evade AML measures. Likewise, vulnerable Customers may be at risk of trusted representatives accessing and misusing those Customers' assets. We must always ensure that we have confirmed the authority of those purporting to act on behalf of a Customer.

13.2 In relation to a person ("**A**") purporting to act on behalf of the Customer, we must:

13.2.1 verify that A is authorised to act on the Customer's behalf;

13.2.2 identify A; and

13.2.3 verify A's identity on the basis of documents or information in either case obtained from a reliable source which is independent of both A and the Customer.

## 14. SIMPLIFIED DUE DILIGENCE

14.1 In some situations, following the execution of the Customer Risk Assessment, in line with section 6 above, it may be deemed that the Customer carries a lower money laundering, proliferation financing or terrorist financing risk.

14.2 In such circumstances, and provided there has been an adequate analysis of the risk by the Firm, the firm may apply reduced CDD measures ("**Simplified Due Diligence**" or "**SDD**").

14.3 When assessing whether there is a low degree of risk of ML/TF/PF in a particular situation, and the extent to which it is appropriate to apply SDD measures in that situation, the Firm must take account of at least the following risk factors:

14.3.1 Whether the Customer is

(a) a public administration, or a publicly owned enterprise

(b) an individual resident in a geographical area of low risk

(c) a credit or financial institution subject to the requirements having an equivalent effect to those in the fourth money laundering directive

(d) a company listed on a regulated market

(e) firms holding a pooled account

(f) certain life assurance and e-money products

(g) certain pension funds

(h) a Child Trust Fund or Junior ISA

14.4 Under SDD the Firm can:

14.4.1 adjust the timing of CDD;

14.4.2 adjust the quantity of information obtained for identification, verification, or monitoring purposes;

14.4.3 adjust the quality or scope of information obtained for identification/verification or monitoring purposes; and

14.4.4 adjust the frequency of CDD updates and reviews of the business relationship; and adjust the frequency and intensity of transaction monitoring.

14.4.5 verify the identity of the Customer on the basis of a reliable independent source / one identity document;

14.4.6 identify any Beneficial Owners of the Customer and take reasonable measures to verify their identity so it knows who they are and, if the Beneficial Owner is an entity or legal arrangement, take reasonable measures to understand its ownership and control structure;

14.4.7 assess, and where appropriate, obtain information on the purpose and intended nature of the business relationship or transaction; and

14.4.8 identify and verify the identity of a person who purports to act on behalf of a Customer and verify that they are authorised to act on behalf of the Customer.

14.5 SDD measures must not be applied, or continue to be applied, where:

14.5.1 the Firm's risk assessment changes and it no longer considers that there is a low degree of risk of ML/TF/PF; or

14.5.2 the Firm suspects money laundering, proliferation financing or terrorist financing; or

14.5.3 there are doubts about the veracity or accuracy of documents or information previously obtained for the purposes of identity or verification.

14.6 The Firm should ensure that the rationale for the decision to apply SDD is appropriately documented.

---

## 15. ENHANCED DUE DILIGENCE

15.1 The Firm must apply EDD measures on a risk sensitive basis in any situation which by its nature can present a higher risk of ML/TF/PF. Specific circumstances in respect of which EDD measures must be applied include:

15.1.1 any case identified by the Firm under its Customer Risk Assessment;

15.1.2 any relationship/transaction with a person established in a High-Risk Third Country;

15.1.3 in relation to correspondent relationships with a credit or financial institutions;

15.1.4 Customer/potential Customer is a Politically Exposed Person ("**PEP**"); or a family member or a known close associate of a PEP;

15.1.5 any case where a Customer has provided false/stolen Identity documents/information on establishing a relationship.

15.1.6 in any case where:

(a) a transaction is complex or unusually large; or there is an unusual pattern of transactions, or

(b) the transaction or transactions have no apparent economic or legal purpose, or

15.1.7 in any case which by its nature presents a higher risk of money laundering, proliferation financing or terrorist financing.

15.2 The obligation to apply EDD measures does not apply when the Customer is a branch or majority owned subsidiary undertaking located in a high-risk country of an entity which is established in a third country and subject to requirements in national legislation having an equivalent effect to those laid down in the fourth money laundering directive as an obliged entity, if;

15.2.1 the branch or subsidiary undertaking is subject to and complies fully with group-wide policies and procedures established by the entity having an equivalent effect to those laid down in the directive; and

15.2.2 the Firm, applying a risk-based approach, does not consider that it is necessary to apply EDD measures.

15.3 Where the risks of ML/TF/PF are higher and EDD is required, the Firm must:

15.3.1 as far as reasonably possible, examine the background and purpose of the transaction;

15.3.2 increase the degree and nature of monitoring of the business relationship, in order to determine whether these transactions or activities appear unusual or suspicious; and

15.3.3 obtain the approval of the MLRO to commence or continue the business relationship.

15.4 In conjunction with 15.3.1 and 15.3.2, depending on the scenario, additional measures could be taken, which include:

15.4.1 obtaining, and where appropriate verifying, additional information on the Customer and updating more regularly the identification of the Customer and any Beneficial Owner;

15.4.2 obtaining additional information on the intended nature of the business relationship;

15.4.3 obtaining information on the source of funds or source of wealth of the Customer;

15.4.4 obtaining information on the reasons for intended or performed transactions;

15.4.5 conducting enhanced monitoring of the business relationship, by increasing the number and timing of controls applied, and selecting patterns of transactions that need further examination; or

15.4.6 requiring the first payment to be carried out through an account in the Customer's name with a bank subject to similar CDD standards.

---

## 16. HIGH-RISK THIRD COUNTRIES

16.1 There are two separate scenarios for which EDD measures must be applied when a High-Risk Third country is involved:

16.1.1 Where there is a **business relationship** with a Customer **established in** a **High-Risk Third Country**; or

16.1.2 When the Firm is undertaking a **relevant transaction** where either of the parties is established in a **High-Risk Third Country**.

16.2 A High-Risk Third Country means:

*"a country named on either of the following lists published by the Financial Action Task Force as they have effect from time to time:*

*i. High-Risk Jurisdictions subject to a Call for Action;*
*ii. Jurisdictions under Increased Monitoring"*

16.3 Being "established in" a country means:

16.3.1 For a legal person – being incorporated in or having its principal place of business in that country;

16.3.2 For a financial or credit institution – having its principal regulatory authority in that country; or

16.3.3 For an individual – being resident in that country.

16.4 For any Customer that falls into either scenario outlined in 16.1.1 and 16.1.2, EDD measures **must** include obtaining:

16.4.1 additional information on the Customer and their Beneficial Owner;

16.4.2 additional information on the intended nature of the business relationship;

16.4.3 information of the source of funds and source of wealth of the Customer and their Beneficial Owners;

16.4.4 information on the reasons for the transactions;

16.4.5 approval of the MLRO for establishing and continuing the business relationship;

16.4.6 conducting enhanced monitoring of the business relationship by increasing the number and timing of controls, and selecting of transactions that need further examination.

---

## 17. POLITICALLY EXPOSED PERSONS

17.1 Individuals who have, or have had, a high political profile, or hold, or have held, public office, can pose a higher money laundering risk to firms as their position may make them vulnerable to corruption ("**Politically Exposed Person**" or "**PEP**").

17.2 A PEP is an individual who is entrusted with prominent public functions, other than as a middle-ranking or more junior official, which includes:

17.2.1 heads of state, heads of government, ministers and deputy or assistant ministers;

17.2.2 members of parliaments or of similar legislative bodies;

17.2.3 members of supreme courts, of constitutional courts or of other high-level judicial bodies the decisions of which are not subject to further appeal, except in exceptional circumstances;

17.2.4 members of courts of auditors or of the boards of central banks;

17.2.5 ambassadors, charges d'affaires and high-ranking officers in the armed forces (other than in respect of relevant positions at Community and international level);

17.2.6 members of the administrative, management or supervisory boards of State-owned enterprises; and

17.2.7 directors, deputy directors and members of the board or equivalent function of an international organisation.

17.3 The obligation to apply EDD measures to an individual ceases after they have left office for one year, or for such longer period as the firm considers appropriate, in order to address risks of ML/TF in relation to that person.

17.4 The risk also extends to members of their immediate families and to known close associates.

17.4.1 Family members of a PEP include:

(a) a spouse or partner of that person;

(b) children of that person and their spouses or partners; and

(c) parents of that person.

17.4.2 Known close associates of a PEP include:

(a) an individual who is known to have joint Beneficial Ownership of a legal entity or legal arrangement, or any other close business relations, with a PEP; and

(b) an individual who has sole Beneficial Ownership of a legal entity or legal arrangement which is known to have been set up for the benefit of a PEP.

17.5 Not all PEPs pose the same risk. Therefore, firms must distinguish between lower risk and higher risk PEPs based on an assessment of:

17.5.1 the prominent public function the PEP holds;

17.5.2 the nature of the proposed business relationship; and

17.5.3 the potential of the relationship being misused for the purposes of corruption.

17.6 Signs that a PEP may be lower risk include:

17.6.1 seeking access to a product deemed as low risk;

17.6.2 prominent public function is in the UK;

17.6.3 does not have executive decision-making responsibilities; and

17.6.4 is in a country with political, economic and judicial characteristics similar to the UK.

17.7 Signs that a PEP may be higher risk include:

17.7.1 prominent public function in a country with high risk of corruption;

17.7.2 personal wealth or lifestyle inconsistent with known legitimate sources of income; and

17.7.3 credible allegations of financial misconduct.

17.8 Where a Customer holds a prominent public function in the United Kingdom ("**Domestic PEP**"), or a family member or a known close associate of a Domestic PEP:

17.8.1 the starting point for the assessment is that the Customer or potential Customer presents a lower level of risk than a non-Domestic PEP, and

17.8.2 if no enhanced risk factors are present, the extent of enhanced Customer due diligence measures to be applied in relation to that Customer or potential Customer is less than the extent to be applied in the case of a non-Domestic PEP.

17.9 Family members of a low-risk PEP are often considered themselves to be lower risk. However, the following might suggest a family member/associate of a PEP poses a higher risk:

17.9.1 wealth derived from the granting of government licences/preferential access to the privatisation of former state assets;

17.9.2 wealth or lifestyle inconsistent with known legitimate sources of income;

17.9.3 credible allegations of financial misconduct; and

17.9.4 appointment to public office that appears inconsistent with personal merit.

17.10 Following classification of PEP risk, the Firm is required, on a risk-sensitive basis, to:

17.10.1 have in place appropriate risk management systems and procedures to determine whether a Customer or the Beneficial Owner of a Customer is a PEP, or a family member or known close associate of a PEP;

17.10.2 obtain MLRO approval for establishing, or continuing, a business relationship with such a Customer;

17.10.3 take adequate measures to establish the source of wealth and source of funds which are involved in the business relationship or occasional transaction; and

17.10.4 conduct enhanced ongoing monitoring of the business relationship.

17.11 The Firm must maintain a record of all PEPs. Where a person ceases to hold a position yielding PEP status, we are required to monitor the risks posed for a period of at least 12 months. As soon as PEP leaves office, the family members should immediately be treated as ordinary Customers subject to normal CDD obligations.

17.12 For Beneficial Owners of legal entities who are PEPs, the Firm must

17.12.1 identify when a PEP is a Beneficial Owner of a Customer; and

17.12.2 assess the risks posed by the involvement of the PEP and apply appropriate measures.

17.13 When a PEP is a Beneficial Owner of a corporate Customer, the Firm should not automatically treat other Beneficial Owners/shareholders as a PEP but can do so once they have assessed the relationship based on the information available.

## 18. HIGH-RISK BUSINESS ACTIVITIES

18.1 Some business relationships and / or occasional transactions are at greater risk of being used for money laundering terrorist financing.

18.2 The following business activities may be considered at a higher risk of ML/TF or corruption:

18.2.1 manufacture, distribution, and sale of recreational drugs such as cannabis;

18.2.2 domestic and international public work contracts and construction, including post-conflict reconstruction;

18.2.3 business uses new or unproven technology, that might make them vulnerable to being used for money laundering;

18.2.4 high value goods businesses;

18.2.5 items of archaeological, historical, cultural, and religious significance or of rare scientific value; and/or

18.2.6 aspects of the nuclear industry with vulnerability to proliferation risk.

## 19. SANCTIONS

19.1 The UN, EU and UK have sanctions in place to deny a range of individuals and entities access to financial services. HM Treasury maintains a consolidated list of targets which are listed under these sanctions regimes. This list includes all individuals and entities that are subject to sanctions in the UK and can be found at https://www.gov.uk/government/publications/financial-sanctions-consolidated-list-of-targets. The HM Treasury Sanctions List is updated on a regular basis.

19.2 It may be a criminal offence to provide financial services, make payments, or allow payments to be made, to targets on the list, whether directly or through intermediaries (such as lawyers or accountants). Before an agreement to provide a service is entered into and before any payments are made to individuals or entities, the sanctions list should be checked to ensure they are not on the list. A record should be made on file of which names have been checked and the date the checks were carried out.

19.3 To ensure that we do not provide financial services, make payments, or allow payments to be made, to targets on the list, we undertake regular checks to ensure we do not carry on business with or make payments to Customers who may have been added to the sanctions list following their initial screening.

19.3.1 Before commencement of engagement, the Firm conducts Sanctions screening on all potential Customers and associated individuals, which are refreshed on a daily basis.

## 20. ESCALATION POINTS

20.1 Khepri's Escalation and Remediation Policy should be read alongside this Policy in order to ascertain the process and procedures for escalating items, when an escalation trigger has been met.

20.2 AML specific escalation triggers that apply to Relevant Persons include but are not limited to:

20.2.1 If you know or suspect the Customer is facilitating ML/TF/PF.

(a) See sections 23, 24 and 25 for further information.

20.2.2 When encountering a High-Risk Customer as defined by the Customer Risk Assessment.

20.2.3 When encountering a complex transaction structure.

20.2.4 When the Customer wishes to conduct a large cash transaction.

20.2.5 When a Customer's transactions deviate significantly from their normal behaviour or activity.

20.2.6 When Customers fail or refuse to provide the required information.

20.2.7 When the Customer has a hit on adverse media, PEP or sanctions screening.

## 21. THIRD PARTY RELIANCE

21.1 In certain circumstances and in accordance with the Regulations, the Firm may rely on third parties to confirm that due diligence has been completed, while retaining responsibility for any failure to comply with a requirement of the Regulations. Parties that the Firm may rely on include:

21.1.1 a person who carries on business in the UK who is subject to the requirements of the Money Laundering, Terrorist Financing and Transfer of Funds (Information on the payer) Regulations 2017 Regulations;

21.1.2 a person who carries on business in an EEA State who is subject to, and supervised for compliance with, the requirements of the EU's 4th Anti-Money Laundering Directive;

21.1.3 a person who carries on business in a third country who is subject to, and supervised for compliance with, CDD and record keeping requirements equivalent to those laid down in The Money Laundering, Terrorist Financing and Transfer of Funds (Information on the Payer) Regulations 2017; or

21.1.4 an organisation whose members consist of persons within Clause 21.1.1, Clause 21.1.2 and Clause 21.1.3 above.

21.2 If placing reliance on a third-party, the Firm must know

21.2.1 the identity of the Customer or Beneficial Owner whose identity is being verified;

21.2.2 the level of CDD that has been carried out; and

21.2.3 confirmation of the third party's understanding of his obligation to make available, on request, copies of the verification data, documents or other information.

21.3 The Firm must ensure that the third-party providing reliance agrees to immediately provide the Firm with all the information needed to identify the Customer(s) or Beneficial Owner(s) or any person(s) acting on behalf of the Customer(s). The third party must also agree to retain copies of the relevant data/documents and to provide the Firm with any identification and verification data and any other relevant documentation on the identity of the Customer(s) or Beneficial Owner(s) or any person(s) acting on behalf of the Customer(s).

21.4 Any such agreement as outlined in 19.3 above, must be formalised in writing using Khepri's template reliance letter or, for ARs, an alternative equivalent document, that has been reviewed and approved by Khepri.

21.5 The Firm should note rely on SDD or EDD carried out by the third-party, or any other exceptional form of verification, such as the use of source of funds as evidence of identity.

---

## 22. ON-GOING MONITORING

22.1 The Firm must conduct ongoing monitoring of the business relationship with their Customers. The Firm's monitoring arrangements should be risk based, driven by the nature, size and complexity of the Firm's business. Ongoing monitoring of a business relationship includes:

22.1.1 keeping the documents, data or information obtained for the purpose of applying CDD measures up to date, done on the following frequency;

(a) For low risk Customers – refreshed every 3 years;

(b) For medium risk Customers – refreshed every 2 years;

(c) For high risk Customers – refreshed every year;

22.1.2 scrutinising transactions undertaken throughout the course of the relationship (including, where necessary, the source of funds) to ensure that these are consistent with the Firm's knowledge of the Customer, their business and their risk profile; and

22.1.3 where letters of reliance are used, our ongoing monitoring should include monitoring of those providing letters of reliance by requesting sample documentations to test their reliability.

22.2 The Firm should have systems and procedures to deal with Customers who have not had contact with the Firm for some time, in circumstances where regular contact might be expected, and with dormant accounts or relationships, to be able to identify future reactivation and unauthorised use.

22.3 Effective monitoring is likely to be based on a considered identification of transaction characteristics, such as:

22.3.1 the unusual nature of a transaction: e.g., abnormal size or frequency for that Customer or peer group; the early surrender of an insurance policy;

22.3.2 the nature of a series of transactions: for example, a number of cash credits;

22.3.3 the geographic destination or origin of a payment: for example, to or from a High-Risk Third Country; the parties concerned: for example, a request to make a payment to or from a person on a sanctions list;

22.3.4 known threats or typologies (including in the public domain); and

22.3.5 depending on and in keeping with the Customer's nature, size and complexity - networks of connected accounts / counterparties / Customers / Beneficial Owners.

22.4 Higher risk accounts and Customer relationships that are subject to enhanced ongoing monitoring will generally require more frequent or intensive monitoring on a risk-based approach.

---

## 23. SUSPICIOUS ACTIVITY REPORTS – OVERVIEW

23.1 There is an obligation for individuals in the regulated sector where they receive information giving rise to a suspicion, or reasonable grounds for suspecting, that another is engaged in money laundering to report this to the MLRO and it is for the MLRO to determine whether a report needs to be made to the NCA under Section 330 of POCA. This is regardless of whether it later transpires that money laundering cannot be proven or that it did not occur. Failure to report is a criminal offence.

23.2 The reporting regime for money laundering and terrorist financing is run by the financial intelligence unit within the NCA. Any suspicion of money laundering or terrorist financing activity must be reported to the MLRO as soon as possible. Use the template in Appendix 4 to make reports of suspicious activities.

23.3 In the absence of the MLRO, reports should be made to the Deputy MLRO or another member of the Board.

23.4 It is essential that any decision whether to report a suspicion is made by the individual without external influence.

23.5 When a report is received by the MLRO, the MLRO will provide an acknowledgement of receipt. The MLRO will then evaluate the substance of the suspicion through an examination of all the information concerning the client or transaction that is available within the Firm and decide whether to make a suspicious activity report ("SAR") to the NCA.

23.6 The enquiries the MLRO will make might cover the following areas:

23.6.1 Customer identification and location;

23.6.2 type or pattern of business;

23.6.3 length of business relationship;

23.6.4 source and destination of funds;

23.6.5 connected accounts / persons; and/or

23.6.6 existence of earlier suspicions.

23.7 The best source of information about the Customer and the transaction in question is the Customer themself. To satisfy concerns before deciding whether to make a report to the NCA, the MLRO may request an appropriate person to make discreet enquiries of the Customer. Great care must be taken to avoid the offence of tipping off. The offence of tipping off may be committed if the MLRO or Relevant Person were to disclose information that may prejudice an investigation. Sensible, commercial enquiries of clients to evaluate unusual activity before submitting a report to the NCA do not, in and of themselves, expose an MLRO or any other employee to the tipping off offence. However, prudence dictates that such enquiries should be made by, or under the guidance of, the MLRO.

23.8 If the MLRO decides it is necessary to make a SAR to the NCA, they must then ensure that all information regarding the knowledge or suspicion of money laundering or terrorist financing is reported. The NCA expects firms to submit suspicion reports using the Suspicious Activity Report Form on the NCA website (http://www.nationalcrimeagency.gov.uk/). Whilst the NCA prefer submissions to be made electronically using the SAR Online facility, hardcopy versions of the forms can also be found on the NCA website or obtained directly from the NCA and posted to UK FIU, PO Box 8000, London SE11 5EN. If the report is seeking consent in hard copy, it can be faxed to the UK FIU on 020 7238 8286. Hard copy forms should be typed rather than handwritten to ensure that they are completely legible.

23.9 If the MLRO does decide to make a SAR to the NCA, we must not process any transactions which relate to the client account in question until further guidance is received from the MLRO.

---

## 24. SUSPICIOUS ACTIVITY REPORTS – GUIDANCE

24.1 Relevant Persons are required to make a report in respect of information that comes to them within the course of a business in the regulated sector:

24.1.1 where they **know** or

24.1.2 where they **suspect** or

24.1.3 where they have **reasonable grounds for knowing or suspecting**

that a person is engaged in, or attempting, money laundering or terrorist financing. Within this Policy, the above obligations are collectively referred to as “grounds for knowledge or suspicion”.

24.2 Having **knowledge** means actually knowing something to be true. However, knowledge can be inferred from the surrounding circumstance, for example, a failure to ask obvious question. The knowledge must, however, have come to the Firm (or to the Relevant Person) in the course of business, or (in the case of the MLRO) as a consequence of a disclosure under s 330 of POCA or s 21A of the Terrorism Act.

24.2.1 Information that comes to the Firm or Relevant Persons in other circumstances does not come within the scope of the regulated sector obligation to make a report.

24.3 **Suspicion** has been defined by the courts as being beyond mere speculation and based on some foundation, for example:

*"A degree of satisfaction and not necessarily amounting to belief but at least extending beyond speculation as to whether an event has occurred or not"; and*

*"Although the creation of suspicion requires a lesser factual basis than the creation of a belief, it must nonetheless be built upon some foundation."*

24.4 A transaction which appears unusual is not necessarily suspicious, it is only a basis for further enquiry, which may in turn require judgment as to whether it is suspicious.

24.4.1 A transaction or activity may not be suspicious at the time, but if suspicions are raised later, an obligation to report then arises.

24.4.2 The Relevant Person who considers a transaction or activity to be suspicious, would not necessarily be expected either to know or to establish the exact nature of any underlying criminal offence, or that the particular funds or property were definitely those arising from a crime or terrorist financing.

24.5 Having **reasonable grounds for knowing or suspecting** is an objective test of suspicion. Reasonable grounds for suspecting are likely to depend upon particular circumstances and the Relevant Person should take into account such factors as:

24.5.1 the nature/origin of the transaction;

24.5.2 how the funds, cash or asset(s) were discovered;

24.5.3 the amounts or values involved;

24.5.4 their intended movement and destination;

24.5.5 how the funds cash or asset(s) came into the Customer's possession; and

24.5.6 whether the Customer(s) and/or the owners of the cash or asset(s) (if different) appear to have any links with criminals/criminality, terrorists, terrorist groups or sympathisers, whether in the UK or overseas.

24.6 A Defence Against Money Laundering ("**DAML**") can be requested from the NCA where the Firm has a suspicion that property they intend to deal with is in some way criminal, and that by dealing with it they risk committing one of the principal money laundering offences under the Proceeds of Crime Act 2002 (POCA). The Firm does not commit one of those offences if they have received a DAML from the NCA.

24.7 A SAR DAML request can only be submitted by the MLRO, who should follow the guidance provided by the NCA and United Kingdom Financial Intelligence Unit (UKFIU).

---

## 25. SUSPICIOUS ACTIVITY REPORTS – PROCESS

### Part 1- Relevant Person obtains knowledge or suspicion of money laundering or terrorist financing.

25.1 If the Relevant Person is an Approved Person at an Appointed Representative of Khepri then the Primary Contact should be consulted immediately. If the Relevant Person is an employee of Khepri then the Relevant Person should consult with their Line Manager immediately.

25.1.1 The obligation under POCA is to report 'as soon as is reasonably practicable', and so any such consultations should take this into account.

**Part 2- Making an Internal Report**

25.2 The legal obligation to report remains with the Relevant Person and they must decide for themselves whether an Internal Report should be made.

25.2.1 Where a colleague, Primary Contact or Line Manager ("**Third-Party**") has been consulted, they themselves will then have knowledge on the basis of which they must consider whether an Internal Report to the MLRO is necessary.

25.2.2 In such circumstances, the Third-Party should only make an Internal Report if the initial Relevant Person does not make an Internal Report but the Third-Party believes an Internal Report is necessary.

25.3 All suspicions reported to the MLRO should be submitted in the format contained in Appendix 4 and

---

## 26. RECORDKEEPING

26.1 Good record keeping is an essential part of the audit trail that the Regulations and the FCA requires of us. We must retain records of all CDD carried out including sanctions and PEP checks. The nature of the records should be appropriate to the scale, nature and complexity of the business, but in general records should cover:

26.1.1 client information;

26.1.2 transactions;

26.1.3 internal and external suspicion reports;

26.1.4 MLRO annual (and other) reports;

26.1.5 any suspicious activity reports made by employees but not necessarily sent to NCA;

26.1.6 training and compliance monitoring; and

26.1.7 information about the effectiveness of training.

26.2 Whilst data security is a key consideration, all records should be easily accessible to the MLRO.

**RECORDS OF CUSTOMER DUE DILIGENCE**

26.3 In relation to client identity, we must retain a copy of or references to evidence the client's identity was obtained during the CDD process.

26.4 If SDD is applied, documented evidence must be retained to demonstrate why SDD is considered appropriate for the client. We should also retain records relating to any on-going monitoring of the client relationship.

26.5 Records of identification evidence and other supporting documentation must be retained for a period of at least five years after the relationship with the client has ended. The date the relationship with the client ends is the date:

26.5.1 an occasional transaction (i.e., one-off) or the last in a series of linked transactions is carried out; or

26.5.2 the business relationship ended (i.e., the account was closed).

**RECORDS OF TRANSACTIONS**

26.6 All transactions carried out for or on behalf of a client during the course of a business relationship must be recorded. Records to support entries in accounts should be retained in a format which enables us to provide an adequate audit trail and establish a financial profile of any suspect account or client.

26.7 Records of all transactions must be retained for a period of at least five years from the date on which the transaction is completed.

26.8 If records are relied on by third parties in accordance with the Regulations, those records must be kept for five years from the date of reliance.

**RECORDS OF INTERNAL AND EXTERNAL REPORTS**

26.9 We must make and retain:

26.9.1 records of actions taken under the internal and external reporting requirements;

26.9.2 records of when the MLRO has considered information or other material concerning possible money laundering, but has not reported to the NCA; and

26.9.3 copies of suspicion reports made to the NCA.

26.10 Records of all internal and external reports should be retained for a period of at least five years after the date the report was made (including annual MLRO report and FCA financial crime report).

**OTHER RECORDS**

26.11 We must also retain copies of records to evidence:

26.11.1 anti-money laundering training carried out (including the date and nature of training, names of staff who received training and the results of any tests undertaken); and

26.11.2 compliance monitoring carried out (including reports from the MLRO to senior management and records of consideration of those reports and any action taken as a consequence).

---

## 27. EMPLOYEE SCREENING

27.1 The Firm is required to screen relevant employees, which means an assessment of:

27.1.1 the skills, knowledge and expertise of the individual to carry out their functions effectively; and

27.1.2 the conduct and integrity of the individual.

27.2 A Relevant Employee is one whose work is:

27.2.1 relevant to the firm's compliance with any requirement in the ML Regulations; or

27.2.2 otherwise, capable of contributing to the:

(a) identification or mitigation of the risks of ML/TF/PF to which the firm is subject; or

(b) prevention or detection of ML/TF/PF in relation to the firm's business.

27.3 The Firm must obtain references on all new employees and, where an employee will be holding a Controlled Function, they are further checked during the application process with the FCA.

---

## 28. TRAINING

28.1 The Firm should take reasonable steps to ensure that relevant employees are aware of:

28.1.1 their responsibilities under the firm's arrangements for the prevention of money laundering and terrorist financing, including those for obtaining sufficient evidence of identity, recognising and reporting knowledge or suspicion of money laundering or terrorist financing;

28.1.2 the identity and responsibilities of the MLRO; and

28.1.3 the potential effect on the firm, on its employees personally and on its clients, of any breach of that law.

28.2 Relevant Employees should be given regular appropriate training in order to be aware of:

28.2.1 the criminal law relating to money laundering and terrorist financing;

28.2.2 the ML Regulations;

28.2.3 the FCA Rules;

28.2.4 industry guidance;

28.2.5 the risks money laundering and terrorist financing pose to the business;

28.2.6 the vulnerabilities of the Firm's products and services; and

28.2.7 the Firm's policies and procedures in relation to the prevention of money laundering and terrorist financing.

28.3 Relevant Employees should be trained in what they need to know in order to carry out their particular role. The awareness raising and training in this respect should cover the need to verify the identity of the Customer, and circumstances when it should be necessary to obtain appropriate additional Customer information in the context of the nature of the transaction or business relationship concerned.

28.4 Relevant Employees should also be made aware of the particular circumstances of Customers who present a higher risk of money laundering, terrorist financing, proliferation financing, or who are financially excluded, and how best to identify these. Training should include how identity should be verified in such cases, what additional steps should be taken, and/or what local checks can be made.

28.5 Sufficient training will need to be given to all relevant employees to enable them to recognise when a transaction is unusual or suspicious, or when they should have reasonable grounds to know or suspect that money laundering, terrorist financing or proliferation financing is taking place.

28.6 Relevant Employees should be given the following training and materials:

28.6.1 Khepri AML Policy

28.6.2 Khepri Due Diligence Requirements

28.6.3 Cascade Training

28.6.4 Annual AML Training Module

## APPENDIX 1 – CUSTOMER RISK ASSESSMENT

Please note any client or investor risks within the AML Checklist at "2. Risk Appetite".

### 1. BUSINESS OR PROFESSIONAL ACTIVITY

1.1 Risk factors that may be relevant when considering the risk associated with a customer's or their beneficial owner's business or professional activity include:

1.1.1 Does the customer or beneficial owner have links to sectors that are associated with higher corruption risk, such as construction, pharmaceuticals and healthcare, arms trade and defence, extractive industries and public procurement?

1.1.2 Does the customer or beneficial owner have links to sectors that are associated with higher ML or TF risk, for example certain Money Service Businesses, casinos or dealers in precious metals?

1.1.3 Does the customer or beneficial owner have links to sectors that involve significant amounts of cash?

1.1.4 Where the customer is a legal person, what is the purpose of their establishment? For example, what is the nature of their business?

1.1.5 Does the customer have political connections, for example, are they, or have they been during the previous 12 months, a Politically Exposed Person (PEP) (or spouse/close family member of close business associate), or is their beneficial owner a PEP? Does the customer or beneficial owner have any other relevant links to a PEP, for example, are any of the customer's directors PEPs and if so, do these PEPs exercise significant control over the customer or beneficial owner? In what jurisdiction is the PEP, his business or a business he is connected with, located?

1.1.6 Does the customer or beneficial owner hold another public position that might enable them to abuse public office for private gain? For example, are they senior or regional public figures with the ability to influence the awarding of contracts, decision-making members of high profile sporting bodies or individuals that are known to influence the government and other senior decision-makers?

1.1.7 Is the customer a legal person subject to enforceable disclosure requirements that ensure that reliable information about the customer's beneficial owner is publicly available, for example public companies listed on stock exchanges that make such disclosure a condition for listing?

1.1.8 Is the customer a credit or financial institution from a jurisdiction with an effective AML/CTF regime and is it supervised for compliance with local AML/CTF obligations? Is there evidence that the customer has been subject to supervisory sanctions or enforcement for failure to comply with AML/CTF obligations or wider conduct requirements in recent years?

1.1.9 Is the customer a public administration or enterprise from a jurisdiction with low levels of corruption?

1.1.10 Is the customer's or their beneficial owner's background consistent with what the firm knows about their former, current or planned business activity, their business' turnover, the source of funds and the customer's or beneficial owner's source of wealth?

## 2. REPUTATION

2.1 The following risk factors may be relevant when considering the risk associated with a customer's or their beneficial owners' reputation:

2.1.1 Are there any adverse media reports or other relevant information sources about the customer? For example, are there any allegations of criminality or terrorism against the customer or their beneficial owner? If so, are these credible? Firms should determine the credibility of allegations on the basis of the quality and independence of the source data and the persistence of reporting of these allegations, among others. The absence of criminal convictions alone may not be sufficient to dismiss allegations of wrongdoing.

2.1.2 Is the customer, beneficial owner or anyone publicly known to be closely associated with them had their assets frozen due to administrative or criminal proceedings or allegations of terrorism or terrorist financing? Does the firm have reasonable grounds to suspect that the customer or beneficial owner or anyone publicly known to be associated with them has, at some point in the past, been subject to such an asset freeze?

2.1.3 Does the firm know if the customer or beneficial owner has been subject to a suspicious activity report in the past?

2.1.4 Does the firm have any in-house information about the customer's or their beneficial owner's integrity, obtained, for example, in the course of a long-standing business relationship?

## 3. NATURE AND BEHAVIOUR

3.1 The following risk factors may be relevant when considering the risk associated with a customer's or their beneficial owner's nature and behaviour (not all of these risk factors will be apparent at the outset, but may emerge only once a business relationship has been established):

3.1.1 Does the customer have legitimate reasons for being unable to provide robust evidence of their identity, perhaps because they are an asylum seeker?

3.1.2 Does the firm have any doubts about the veracity or accuracy of the customer's or beneficial owner's identity?

3.1.3 Are there indications that the customer might seek to avoid the establishment of a business relationship? For example, does the customer look to carry out one or several one-off transactions where the establishment of a business relationship might make more economic sense?

3.1.4 Is the customer's ownership and control structure transparent and does it make sense? If the customer's ownership and control structure is complex or opaque, is there an obvious commercial or lawful rationale?

3.1.5 Does the customer issue bearer shares or have nominee shareholders?

3.1.6 Is the customer a legal person or arrangement that could be used as an asset holding vehicle?

3.1.7 Is there a sound reason for changes in the customer's ownership and control structure?

3.1.8 Does the customer request transactions that are complex, unusually or unexpectedly large or have an unusual or unexpected pattern without apparent economic or lawful purpose or a sound commercial rationale? Are there grounds to suspect that the customer is trying to evade certain thresholds?

3.1.9 Does the customer request unnecessary or unreasonable levels of secrecy? For example, is the customer reluctant to share CDD information, or do they appear to disguise the true nature of their business?

3.1.10 Can the customer's or beneficial owner's source of wealth or source of funds be easily explained, for example through their occupation, inheritance or investments?

3.1.11 Does the customer use their products and services as expected when the business relationship was first established?

3.1.12 Where the customer is a non-resident, could their needs be better serviced elsewhere? Is there a sound economic or lawful rationale for the customer requesting the type of financial service sought? Note that EU law creates a right for customers who are legally resident in the EEA to obtain a basic bank account, but this right applies only to the extent that firms can comply with their AML/CTF obligations.

3.1.13 Is the customer a non-profit organisation whose activities expose it to particularly high risks of abuse for terrorist financing purposes?

## 4. COUNTRIES AND GEOGRAPHIC AREAS FACTORS

4.1 When identifying the risk associated with countries and geographic areas, firms should consider the risk related to:

4.1.1 the jurisdiction in which the customer or beneficial owner is based;

4.1.2 the jurisdictions which are the customer´s or beneficial owner's main place of business; and

4.1.3 the jurisdiction to which the customer or beneficial owner has relevant personal links.

4.1.4 You should refer to the High-Risk Country list provided by Know Your Country **(https://www.knowyourcountry.com/ratings-table/ )** a not-for-profit entity which uses a multi factor approach to rank countries when assigning a risk rating. Knowyourcountry.com provides an independent ranking, best to worst, of countries AML and CTF risk. Their methodology is described here: **https://www.knowyourcountry.com/methodologies-sources.** Only countries with a score of 65 or less that are to be deemed High Risk for Khepri group purposes.

## 5. PRODUCTS, SERVICES AND TRANSACTIONS RISK FACTORS

5.1 When identifying the risk associated with their products, services or transactions, firms should consider the risk related to:

5.1.1 the level of transparency, or opaqueness, the product, service or transaction afford;

5.1.2 the complexity of the product, service or transaction; and

5.1.3 the value or size of the product, service or transaction.

5.2 Risk factors that may be relevant when considering the risk associated with a product, service or transaction's transparency include:

5.2.1 To what extent do products or services facilitate or allow anonymity or opaqueness of customer, ownership or beneficiary structures, for example pooled accounts, bearer shares, fiduciary deposits, offshore and certain trusts, or legal entities like foundations that are structured in a way to take advantage of anonymity and dealings with shell companies or companies with nominee shareholders that could be abused for illicit purposes?

5.2.2 To what extent is it possible for a third party that is not part of the business relationship to give instructions, e.g., certain correspondent banking relationships?

5.3 Risk factors that may be relevant when considering the risk associated with a product, service or transaction's complexity include:

5.3.1 To what extent is the transaction complex and involves multiple parties or multiple jurisdictions, for example certain trade finance transactions? Are transactions straightforward, for example regular payments into a pension fund?

5.3.2 To what extent do products or services allow payments from third parties or accept overpayments where this is not normally foreseen? Where third party payments are foreseen, does the firm know the third party's identity, for example a state benefit authority or a guarantor? Or are products and services funded exclusively by fund transfers from the customer's own account at another financial institution that is subject to AML/CTF standards and oversight that are comparable to those required under the UK regime?

5.3.3 Does the firm understand the risks associated with its new or innovative product or service, in particular where this involves the use of new technologies or payment methods?

5.4 Risk factors that may be relevant when considering the risk associated with a product, service or transaction's value or size include:

5.4.1 To what extent are products or services cash intensive, such as many payment services but also certain current accounts?

5.4.2 To what extent do products or services facilitate or encourage high value transactions? Are there any caps on transaction values of levels of premium that could limit the use of the product or service for money laundering or terrorist financing purposes?

## 6. DELIVERY CHANNEL RISK FACTORS

6.1 When identifying the risk associated with the way the customer obtains the products or services they require, firms should consider the risk related to:

6.1.1 the extent to which the business relationship is conducted on a non-face to face basis; and

6.1.2 any introducers or intermediaries the firm might use and the nature of their relationship to the firm.

6.2 When assessing the risk associated with the way the customer obtains the product or services, firms should consider a number of factors including:

6.2.1 Is the customer physically present for identification purposes? If they are not, has the firm used a reliable form of non-face to face CDD? Has it taken steps to prevent impersonation or identity fraud?

6.2.2 Has the customer been introduced from other parts of the same financial group and if so, to what extent can the firm rely on this introduction as reassurance that the customer will not expose the firm to excessive ML/TF risk? What has the firm done to satisfy itself that the group entity applies CDD measures to UK standards?

6.2.3 Has the customer been introduced from a third party, for example a bank that is not part of the same group, and is the third party a financial institution or is their main business activity unrelated to financial service provision? What has the firm done to be satisfied that:

(a) the third party applies CDD measures and keeps records to UK standards and that it is supervised for compliance with comparable AML/CTF obligations in line with UK requirements?

(b) the third party will provide, immediately upon request, relevant copies of identification and verification data, among others in line with UK requirements? and

(c) the quality of the third party's CDD measures is such that it can be relied upon?

6.2.4 Has the customer been introduced through a tied agent, i.e., without direct firm contact? To what extent can the firm be satisfied that the agent has obtained enough information so that the firm knows its customer and the level of risk associated with the business relationship?

(a) If independent or tied agents are used, to what extent are they involved on an ongoing basis in the conduct of business? How does this affect the firm's knowledge of the customer and ongoing risk management?

6.3 Where a firm uses an intermediary, are they:

6.3.1 a regulated person subject to AML obligations that are consistent with those of the UK regime?

6.3.2 subject to effective AML supervision? Are there any indications that the intermediary's level of compliance with applicable AML legislation or regulation is inadequate, for example because the intermediary has been sanctioned for breaches of AML/CTF obligations?

6.3.3 based in a jurisdiction associated with higher ML/TF risk? Where a third party is based in a high risk third country that the Commission has identified as having strategic deficiencies, firms must not rely on that intermediary. However, reliance may be possible provided that the intermediary is a branch or majority-owned subsidiary undertaking of another firm established in the EU, and the firm is confident that the intermediary fully complies with group wide policies, controls and procedures in line with UK requirements.

## APPENDIX 2 – IDENTIFICATION REQUIREMENTS

The below details the Firm's standard AML requirements for conducting Customer Due Diligence. For each legal/physical person there are two sections:

**Section 1** – Lists the information and documentation required to be collected for standard CDD.

**Section 2** – Lists the additional information and documentation required to be collected (over and above section 1) for EDD.

**NB:** Although the below are standard the Customer Due Diligence requirements, the Firm appreciates that each Customer should be viewed individually which may lead to a slight deviation from these standards, even if SDD or EDD is not necessary, for example, no source of funds declaration is required if the Customer is an investment target (portfolio company).

### 1. INDIVIDUALS

1.1 Customer Due Diligence includes the provision of all of the following**:**

1.1.1 **Information** required includes:

(a) Name of the individual

(b) Date of birth

(c) Nationality

(d) Residential address

(e) Tax ID (where applicable)

1.1.2 **Certified Government Issued Proof of Identity**

1.1.3 **Certified Proof of Residential Address**

(a) All documents must clearly show the individuals name and full address and be issued within three (3) months.

1.1.4 **Source of Funds Declaration –** This would be the incoming transfer from an account in the name of the Customer.

1.1.5 **PEP Declaration**

1.1.6 **Screening** – Adverse media, PEP and sanctions screening on the individual.

1.2 **Enhanced Due Diligence**

1.2.1 In addition to the above defined documents, the individual will also be required to provide:

(a) A professional reference letter (from a bank, accountant, lawyer, etc.) speaking to the character of the individual.

(b) Source of Wealth verification – this includes completing the source of wealth declaration andproviding the necessary support as defined on the form.

1.2.2 When applying enhanced due diligence, the above list is guidance only and Khepri Compliance should be consulted to determine what documents should be requested as this may vary depending on the risk.

## 2. UK OR EQUIVALENT REGULATED ENTITIES

2.1 Customer Due Diligence includes the provision of all of the following**:**

2.1.1 **Information** required includes:

(a) Legal name / trading name

(b) Registered Address

(c) Regulatory Status

(d) Tax ID (where applicable)

(e) Names of individuals authorised to operate the business relationship

2.1.2 **Proof of regulation** (print out from regulators website)

2.1.3 **Certified Authorised Signatory List**

2.1.4 **ID&V on the signatory individual(s)** in accordance with the “Individual” section of this appendix

2.1.5 **Source of Funds Declaration** – This would be the incoming transfer from an account in the name of the Customer.

2.1.6 **Screening** – Adverse media, PEP and sanctions screening on the entity and signatory individual(s).

2.2 **Enhanced Due Diligence**

2.2.1 If the Customer does not meet the requirements to be treated as a “Regulated Entity” thenCDD must be conducted based on its legal structure.

## 3. NON-UK EQUIVALENT REGULATED FIRM

3.1 Customers which are subject to the ML Regulations or equivalent, but which are not regulated in the UK or an assessed low risk jurisdiction as a financial services business, should be treated, for AML/CTF purposes, according to their legal form.

## 4. PUBLIC LIMITED COMPANY

4.1 Customer Due Diligence includes the provision of all of the following**:**

4.1.1 **Information** required includes:

(a) Legal name / trading name

(b) Registered Address

(c) Exchange entity is listed on

(d) Tax ID (where applicable)

(e) Names of individuals authorised to operate the business relationship

4.1.2 **Proof of Listed Status** (print out from regulators website)

4.1.3 **Certified Authorised Signatory List**

4.1.4 **ID&V on the signatory individual(s)** in accordance with the "Individual" section of this appendix

4.1.5 **Source of Funds Declaration** – This would be the incoming transfer from an account in the name of the Customer.

4.1.6 **Screening** – Adverse media, PEP and sanctions screening on the entity and signatory individual(s).

4.2 **Enhanced Due Diligence**

4.2.1 If the Customer does not meet the requirements to be treated as a "Listed Entity" then CDD must be conducted based on its legal structure.

## 5. SUBSIDUARIES OF REGULATED OR LISTED ENTITIES

5.1 The following information is required for direct investors who are classified as "Subsidiaries of Regulated or Listed Entities" whose parent is domiciled and regulated in a low-risk jurisdiction or publicly traded on a regulated market in a low-risk jurisdiction.

5.2 **N.B.** The subsidiary must be **wholly owned** by the Regulated or Listed entity.

5.3 Customer Due Diligence includes the provision of all of the following**:**

5.3.1 **Information** required includes:

(a) Legal name / trading name

(b) Registered address

(c) Regulatory/Listed Status of the Parent Company

(d) Support to show the link to the Parent Company

(e) Confirmation of the AML standards of the Parent Company are applied to the subsidiary

(f) Tax ID (where applicable)

(g) Names of individuals authorised to operate the business relationship

5.3.2 **Certificate of Incorporation or equivalent**

5.3.3 **Proof of regulation/listing of the Parent Company**

5.3.4 **Proof that entity is a wholly owned subsidiary of parent**

5.3.5 **Certified Authorised Signatory List**

5.3.6 **ID&V on the signatory individual(s)** in accordance with the "Individual" section of this appendix

5.3.7 **Source of Funds Declaration** – This would be the incoming transfer from an account in the name of the Customer.

5.3.8 **Screening** – Adverse media, PEP and sanctions screening on the entity and any controlling parties.

5.4 **Enhanced Due Diligence**

5.4.1 If the Customer does not meet the requirements to be treated as a "Subsidiary of a Regulated or Listed Entity" then CDD must be conducted based on its legal structure.

---

## 6. PRIVATE LIMITED COMPANY

6.1 Customer Due Diligence includes the provision of all of the following**:**

6.1.1 **Information** required includes:

(a) Legal name / trading name

(b) Registered office / place of business

(c) Nature of business

(d) Tax ID (where applicable)

(e) Identify of directors and authorised signatories

(f) Identify of Ultimate Beneficial Owners or controlling parties

6.1.2 **Certificate of incorporation or local equivalent**

6.1.3 **Proof of registered address**

6.1.4 **Certified memorandum and articles of association or local equivalent**

6.1.5 **Certified register of directors**

6.1.6 **Certified register of members**

6.1.7 **Certified structure chart**

6.1.8 **Certified Authorised Signatory List**

6.1.9 **ID&V on the signatory individual(s)** in accordance with the "Individual" section of this appendix

**(a)** **ID&V for one Director** (if Signatory Individual is not a Director) in accordance with the "Individual" section of this appendix

6.1.10 **Knowledge of ownership and control of any Intermediary Beneficial Owners**

6.1.11 **ID&V on all Ultimate Beneficial Owners owning > 25% of the entity** in accordance with "Individual" guidance in this appendix

6.1.12 **Source of Funds Declaration** – This would be the incoming transfer from an account in the name of the Customer.

6.1.13 **Screening** – Adverse media, PEP and sanctions screening on the entity, directors and beneficial owners.

6.2 **Enhanced Due Diligence**

6.2.1 **In addition to the above defined documents, the Company will also be required to provide:**

(a) ID&V on all Directors of the Company in accordance with "Individual" guidance in this appendix. Please note EDD is not required on the directors beyond the identification documents (passport and address verification).

(b) For each UBO, a professional reference letter (from a bank, accountant, lawyer, etc.) speaking to the character of the individual.

(c) For each UBO, a source of wealth verification – this includes completing the source of wealth declaration and providing the necessary support as defined on the form.

(d) Certified independently audited financial statement for the Company.

(e) Certified certificate of good standing, or equivalent for the Company.

6.2.2 When applying enhanced due diligence, the above list is guidance only and Khepri Compliance should be consulted to determine what documents should be requested as this may vary depending on the risk.

## 7. PARTNERSHIPS

7.1 Customer Due Diligence includes the provision of all of the following**:**

7.1.1 **Information** required includes:

(a) Legal name / trading name and address

(b) Registered office / place of business

(c) Nature of business

(d) Tax ID (where applicable)

(e) Identify of general partner and authorised signatories

(f) Identify of Ultimate Beneficial Owners or controlling parties

7.1.2 **Certificate of partnership (**or local equivalent)

7.1.3 **Certified partnership agreement** (or local equivalent)

7.1.4 **Certified register of partners** (if not defined in partnership agreement)

7.1.5 **Certified structure chart**

7.1.6 **Certified Authorised Signatory List**

7.1.7 **Knowledge of ownership and control of any Intermediary Beneficial Owners**

7.1.8 **ID&V on all Ultimate Beneficial Owners owning > 25% of the Partnership** in accordance with "Individual" guidance in this appendix

7.1.9 **ID&V on the signatory individual(s)** in accordance with the "Individual" section of this appendix

**(a)** **ID&V for one Partner** (if Signatory Individual is not a Partner) in accordance with the "Individual" section of this appendix

7.1.10 **CDD on the general partner** in accordance with the structure and relevant guidance in this appendix

7.1.1 **Source of Funds Declaration** – This would be the incoming transfer from an account in the name of the Customer.

7.1.2 **Screening** – Adverse media, PEP and sanctions screening on the entity, partners and beneficial owners.

7.2 **Enhanced Due Diligence**

7.2.1 **In addition to the above defined documents, the Partnership will also be required to provide:**

(a) For each Ultimate Beneficial Owner, a professional reference letter (from a bank, accountant, lawyer,etc.) speaking to the character of the individual.

(b) For each Ultimate Beneficial Owner, a source of wealth verification – this includes completing the source of wealth declaration and providing the necessary support as defined on the form.

(c) Certified independently audited financial statement for the Partnership.

(d) Certified certificate of good standing, or equivalent for the Partnership.

7.2.2 When applying enhanced due diligence, the above list is guidance only and Khepri Compliance should be consulted to determine what documents should be requested as this may vary depending on the risk.

---

## 8. TRUSTS

8.1 Customer Due Diligence includes the provision of all of the following**:**

8.1.1 **Information** required includes:

(a) Legal name of the Trust

(b) Nature and purpose of the Trust

(c) Justification where the Trust was established

(d) Tax ID (where applicable)

(e) Identify of trustee, settlors, other controlling parties and authorised signatories

(f) Identify beneficiaries of the trust to include their full name, date of birth and tax residency.

8.1.2 **Certified Trust Deed** and any amendments or equivalent

8.1.3 **Certified structure chart**

8.1.4 **Certified register of trustees**

8.1.5 **Certified Authorised Signatory List**

8.1.6 **Knowledge of ownership and control of any Intermediary Beneficial Owners**

8.1.7 **ID&V on identifiable beneficial owners** in accordance with "Individual" guidance in this appendix

8.1.8 **ID&V on the signatory individual(s)** in accordance with the "Individual" section of this appendix

8.1.9 **ID&V on two Trustees** in accordance with the "Individual" section of this appendix

8.1.10 **ID&V on the Settlor** in accordance with the "Individual" section of this appendix

8.1.11 **Source of Funds Declaration** – This would be the incoming transfer from an account in the name of the Customer.

8.1.12 **Screening –** Adverse media, PEP and sanctions screening on the Trust, Trustees, Settlor and identifiable Beneficial Owners.

8.2 **Enhanced Due Diligence**

8.2.1 In addition to the above defined documents, the Trust will also be required to provide:

(a) For the settlor, a professional reference letter (from a bank, accountant, lawyer, etc.) speaking tothe character of the individual.

(b) For the settlor, source of wealth verification – this includes completing the source of wealthdeclaration and providing the necessary support as defined on the form.

(c) ID&V on all Trustees in accordance with the "Individual" section of this appendix.

8.2.2 When applying enhanced due diligence, the above list is guidance only and Khepri Compliance should be consulted to determine what documents should be requested as this may vary depending on the risk.

## 9. COLLECTIVE INVESTMENT SCHEMES

9.1 Customer Due Diligence includes the provision of all of the following**:**

9.1.1 **Information** required includes:

(a) Legal name of the CIS

(b) Registered office / place of business

(c) Tax ID (where applicable)

(d) Regulatory status (if applicable)

(e) Investment Manager / Controlling Parties

(f) Administrator / Entity responsible for the AML / KYC of the CIS and Investors.

(g) Ultimate Beneficial Owners when the CIS does not have a third-party Administrator

9.1.2 **Offering Memorandum / Prospectus –** this document is used to identify related parties such as the investment manager, administrator, advisers, etc.

9.1.3 **Certificate of Incorporation**

9.1.4 **Certified register of directors or controlling parties** (e.g., general partner, managing member, etc.)

9.1.5 **Proof of regulation of the Investment Manager**

9.1.6 **Proof of regulation of the Fund Administrator performing AML on CIS / Investors**

9.1.7 **AML letter confirming Administrator AML policies** and how they are applied to the CIS and underlying investors

9.1.8 **Certified Authorised Signatory List**

9.1.9 **ID&V on the signatory individual(s)** in accordance with the "Individual" section of this appendix

9.1.10 **Source of Funds Declaration** – This would be the incoming transfer from an account in the name of the Customer.

9.1.11 **Screening** – Adverse media, PEP and sanctions screening on the Customer, Investment Manager, directors and beneficial owners.

9.2 **Enhanced Due Diligence**

9.2.1 If the investor does not meet the requirements to be treated as a "CIS / Investment Fund"then CDD must be conducted based on its legal structure.

## 10. UNREGULATED PENSION PLANS

10.1 Customer Due Diligence includes the provision of all of the following**:**

10.1.1 **Information** required includes:

(a) Legal name of the Pension Plan

(b) Registered office / place of business

(c) Registry with tax authority / pensions board

(d) Tax ID (where applicable)

(e) Identity of Pension Plan controllers – trustee / board of directors

10.1.2 **Letter of registration** which includes names and addresses of the controlling parties of the Pension Plan

10.1.3 **ID&V on all controlling parties of the Pension Plan** in accordance with "Individual" guidance in this appendix

10.1.4 **Certified Authorised Signatory List**

10.1.5 **ID&V on the signatory individual(s)** in accordance with the "Individual" section of this appendix

10.1.6 **Source of Wealth declaration**

10.1.7 **Source of Funds Declaration** – This would be the incoming transfer from an account in the name of the Customer.

10.1.8 **Screening** – Adverse media, PEP and sanctions screening on the Pension Plan and controlling parties.

10.2 **Enhanced Due Diligence**

10.2.1 In addition to the above defined documents, the Pension Plan will also be required to provide:

(a) Certified constitutional document of the Pension Plan based on legal structure

(b) Certified independently audited financial statement for the Pension Plan

10.2.2 When applying enhanced due diligence, the above list is guidance only and Khepri Compliance should be consulted to determine what documents should be requested as this may vary depending on the risk.

## 11. CHARTIES AND NON-PROFIT ORGANISATIONS

11.1 Customer Due Diligence includes the provision of all of the following**:**

11.1.1 **Information** required includes:

(a) Legal name of the Charity / NPO

(b) Legal form of the Charity / NPO (Trust, Company, Foundation, etc.)

(c) Registered office / place of business

(d) Tax ID (where applicable) or proof of tax exemption

(e) Purpose of the Charity / NPO

(f) Identify of Charity / NPO controllers – Trustee / Directors / Signatories

(g) Details of the Charity / NPO beneficiaries

11.1.2 **Proof of registration** with the relevant Charity / NPO register

11.1.3 **Constitutional document** of the Charity / NPO based on legal structure

11.1.4 **ID&V on all controlling parties** of the Charity / NPO in accordance with "Individual" guidance in this appendix

11.1.5 **Certified Authorised Signatory List**

11.1.6 **ID&V on the signatory individual(s)** in accordance with the "Individual" section of this appendix

11.1.7 **Source of Wealth declaration**

11.1.8 **Screening** – Adverse media, PEP and sanctions screening on the Charity / NPO and controlling parties.

11.2 **Enhanced Due Diligence**

11.2.1 In addition to the above defined documents, the Charity / NPO will also be required to provide:

(a) Certified constitutional document of the Charity / NPO based on legal structure

(b) Certified independently audited financial statement for the Charity / NPO

11.2.2 When applying enhanced due diligence, the above list is guidance only and Khepri Compliance should be consulted to determine what documents should be requested as this may vary depending on the risk.

---

**12. PUBLIC SECTOR BODIES**

12.1 Customer Due Diligence includes the provision of all of the following**:**

12.1.1 **Information** required includes:

(a) Name of the entity:

(b) Nature and status of the entity (e.g. overseas government, treaty organisation):

(c) Address of the entity:

(d) Name of the home state authority:

(e) The business activities described above account for the source of funds being invested

(f) Names of directors (or equivalent controllers)

12.1.2 **Certified Authorised Signatory List**

12.1.3 **ID&V for directors or equivalent** who have the authority to operate the relationship concerning the transfer of assets/ persons signing the subscription document or equivalent

12.1.4 **Screening** – Adverse media, PEP and sanctions screening on the Public Sector Body and controlling parties.

12.2 **Enhanced Due Diligence**

12.2.1 In addition to the above defined documents, the Charity / NPO will also be required to provide:

(a) Certified constitutional document of the Public Sector Body based on legal structure

(b) Certified independently audited financial statement for the Public Sector Body

12.2.2 When applying enhanced due diligence, the above list is guidance only and Khepri Compliance should be consulted to determine what documents should be requested as this may vary depending on the risk.

**13. SOVERIEGN WEALTH FUNDS**

13.1 Customer Due Diligence includes the provision of all of the following**:**

13.1.1 **Information** required includes:

(a) Name of the sovereign wealth fund (SWF)

(b) Address of the sovereign wealth fund

(c) Name of the national government

(d) Names of directors/trustees (or equivalent controllers)

(e) Nature/purpose of the fund

(f) The activities described above account for the source of funds being invested

(g) Legal Form i.e. private company, limited partnership etc

(h) Does the SWF participate in the International Forum of Sovereign Wealth Fund (IFSWF)? Yes/No

(i) If "No" please provide the documentation to evidence the objectives of the fund

(i) Does the SWF adopt the Santiago Principles? Yes/No

13.1.2 **Certified true copy of the constitutional documents/charter/equivalent**

13.1.3 **Evidence to demonstrate participation in the IFSWF.** If not a member the:

(a) **Documentation to evidence the objectives of the fund,** e.g. investment mandate or equivalent

13.1.4 **Certified authorised signatory list or equivalent**

13.1.5 **ID&V for directors or equivalent** who have the authority to operate the relationship concerning the transfer of assets/ persons signing the subscription document or equivalent

13.1.6 **Identification documents for any other parties with effective control of the entity.**

13.1.7 **Screening** – Adverse media, PEP and sanctions screening on the SWF and controlling parties

13.2 **Enhanced Due Diligence**

13.2.1 In addition to the above defined documents, the Charity / NPO will also be required to provide:

(a) Certified constitutional document of the SWF based on legal structure

(b) Certified independently audited financial statement for the SWF

13.2.2 When applying enhanced due diligence, the above list is guidance only and Khepri Compliance should be consulted to determine what documents should be requested as this may vary depending on the risk.

## APPENDIX 3 – CUSTOMER AND TRANSACTION RISK INDICATORS

1. Indicators of higher risk Customers and Transactions are:

1.1 if the Customer or Beneficial Owner(s):

1.1.1 is secretive or evasive about who they are, the beneficial owner, the source of funds, the reason for the transaction, or what the big picture is;

1.1.2 uses an intermediary, or does not appear to be directing the transaction, or appears to be disguising the real client;

1.1.3 avoids personal contact without good reason;

1.1.4 refuses to provide information about the transaction;

1.1.5 has criminal associations;

1.1.6 has unusually high level of knowledge about money laundering processes;

1.1.7 is a PEP or subject to sanctions;

1.1.8 or their representatives reside in, or are incorporated in, a high-risk country;

1.1.9 to the transaction are connected without an apparent business reason;

1.1.10 have connections of a family or other business nature which causes doubts as to the real reason for the business;

1.1.11 appear multiple times in transactions over a short period of time; or

1.1.12 executing the transaction are unusual, e.g., if they are under legal age or there is no logical explanation for their involvement are a director or representative which does not appear suitable for any reason e.g., age.

1.2 If the transaction has unusual features such as:

1.2.1 size, nature, frequency or manner of execution;

1.2.2 early repayment of mortgages/loans;

1.2.3 short repayment periods for borrowing;

1.2.4 an excessively high value is placed on assets/securities;

1.2.5 it is potentially loss making;

1.2.6 involving unnecessarily complicated structures or steps in transaction;

1.2.7 repetitive instructions involving common features/parties or back to back transactions with assets rapidly changing value;

1.2.8 the transaction is unusual for the client, type of business or age of the business;

1.2.9 unexplained agency, requests for short cuts or changes to the transaction particularly at the last minute;

1.2.10 use of a Power of Attorney in unusual circumstances;

1.2.11 no obvious commercial purpose to the transaction;

1.2.12 instructions to retain documents or to hold money; or

1.2.13 abandoning transaction and/or requests to make payments to third parties or to back source monies passing directly between the parties.

1.3 If the source of funds for the transaction is unusual such as:

1.3.1 large cash payments.

1.4 If the instructions are unusual for your business such as:

1.4.1 unexplained payments from a third party;

1.4.2 client doesn't appear to have the means to pay/fund the transaction according to their legitimate income source;

1.4.3 loans from non-institutional lenders;

1.4.4 use of corporate assets to fund private expenditure of individuals use of multiple accounts or foreign accounts;

1.4.5 Outside you or your firm's area of expertise or normal business, or if client is not local to you and there is no explanation as to why your locality has been chosen;

(a) willingness of client to pay high fees;

(b) unexplained changes to legal advisers; or

(c) the client appears unconcerned or lacks knowledge about the transaction.

1.5 If there are geographical concerns such as:

1.5.1 unexplained connections with and movement of monies between other jurisdictions

1.5.2 connections with jurisdictions which are subject to sanctions or are suspect because drug production, terrorism or corruption is prevalent or there is a lack of money laundering regulation.

## APPENDIX 4 - INTERNAL SUSPICIOUS ACTIVITY REPORT

There is an obligation for individuals in the regulated sector where they receive information giving rise to a suspicion, or reasonable grounds for suspecting, that another is engaged in money laundering to report this to the Nominated Officer/MLRO and it is for the MLRO to determine whether a report needs to be made to the NCA under Section 330 of POCA. This is regardless of if it later transpires that money laundering cannot be proven or that it did not occur. Failure to report is a criminal offence.

### INTERNAL SUSPICIOUS ACTIVITY REPORT

**Guidance:**

Please complete all fields in Part 1 to Part 4 of the form and submit to the firm's money-laundering reporting officer (MLRO), [insert name] (email address)

The subject of the email should be in the following format: INTERNAL SAR; member/name.

If the case requires urgent attention or you require advice, please speak to [insert name] (MLRO) as soon as possible.

Please complete with all known details; where details are not known, please state.

If you are reporting a case that relates to a transaction (for example, a transfer of funds or property) that is yet to happen and you suspect that the funds/property being transferred represent the proceeds of crime, speak with [insert name] MLRO immediately. In these situations, we may be required to raise a consent/Defence Against Money Laundering (DAML) suspicious activity report (SAR) with the National Crime Agency (NCA).

### INVOLVED PARTIES

| | | |
|---|---|---|
| **Individual** | **Name** | *Insert name of individual* |
| | **Date of birth** | *Insert date of birth* |
| | **Address** | *Insert address* |
| | **Contact details** | *Insert any contact telephone number or email address* |
| | **Additional details** | *Insert any further details that may be known about the individual* |

| | | |
|---|---|---|
| | **Involvement** | *This should indicate the involvement as you understand it of this party in the activity you are reporting, e.g., client of the firm* |

| | | |
|---|---|---|
| **Other party** | **Name** | *Insert name* |
| | **Address** | *Insert address* |
| | **Contact details** | *Insert any contact telephone number or email address* |
| | **Additional details** | *Insert any further details that may be known (for example, any company numbers or websites)* |
| | **Involvement** | *This should indicate the involvement as you understand it of this party in the activity you are reporting, e.g., victim* |

You should create as many tables as required for your case and complete as much information as known for each party.

**REASON FOR SUSPICION**

**Guidance on completing this section**

Provide a summary to explain your suspicion and then provide a chronological sequence of events. Try to keep the content clear, concise and simple. For example, explain how you became aware of the situation, describe the events, activities and/or transactions that led you to be suspicious, and how and why you became suspicious because of these.

To help when completing this section, the following has taken from The National Crime Agency (NCA) guidance:

*"As a guide when submitting a Suspicious Activity Report (SAR), wherever you can, try to answer the following six basic questions to make the information provided as useful as possible:*

*• Who?*

*• What?*

*• Where?*

*• When?*

*• Why?*

*• How?*

*Remember to include:*

*• the date of activity*

*• the type of product or service*

*• how the activity will, or has, taken place when documenting the reason for suspicion.*

*If you are suspicious because the activity deviates from the normal activity for that individual/firm, briefly explain how the activity that gave rise to your suspicion differs from the normal."*

***TIP/REMINDER** Have you clearly described the suspicion? This report will be read by a third party and potentially forms a basis of a report to Law Enforcement/Authorities. Have you clearly explained your concern so a third party can understand?*

## SUPPORTING DOCUMENTATION

| |
|---|
| *Attach any supporting documentation that is relevant for the case. For example, this may include copies of correspondence, customer files or information that you have obtained on the matter.*<br><br>*For each file attached, ensure that an explanation is provided of what it is, as this will help the third party when reviewing the case.* |

## SUBMITTER'S DETAILS

| | |
|---|---|
| **Name** | |
| **Contact number** | |
| **Date of report** | |

## MLRO DECISION

| | |
|---|---|
| **Name** | |
| **Contact number** | |
| **Decision and reasoning** | |
| **Date** | |
| **Signed** | |